

PAGERO



Country Compliance Report: **India**

Information class: Restricted



Country Compliance Report: INDIA

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for India, which will be used throughout the whole document.

Term	Explanation
AATO	Annual Aggregate Turnover
GST	Goods and services tax
GSTN	Goods and Services Tax Network
GSTIN	Goods and Service Tax Identification Number
GST system / portal	Is the platform of the GSTN where the taxpayers can handle their tax errands, and where e-documents in JSON format will be reported and visible
Post Audit	The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called “e-documents”) directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure, or how they should be issued or distributed. The tax audits are performed afterward
Clearance	Is the process performed by the supplier or its service provider when issuing invoices and having them approved/validated by the country-specific mandatory infrastructure in order to ensure that the supplier has issued a legally valid fiscal document
Crore	A <i>crore</i> or koti denotes ten million (10.000.000) and is equal to 100 <i>lakh</i> in the Indian numbering system
IRN	Is the unique identification number assigned to e-document by the IRP or the supplier’s software, upon certification by the GST Network.
IRP	Invoice Registration Portal of the GSTN. It is planned that there will be several IRP providers in order to ensure continuity and availability of the service

JSON	JavaScript Object Notation is an open-standard file format or data interchange format that uses human-readable text to transmit data objects consisting of attribute-value pairs and array data types (or any other serializable value). This format is to be used in India in order to clear e-documents with the IRP
QR code	IRP will generate a QR code containing IRN along with some important parameters. This is like a bar code helpful for the tax officers to check the invoice where the internet may not be available
Cess	Cess is a form of tax charged/levied over and above the base tax liability of a taxpayer. In the case of the cess levied on indirect taxes, such as GST in India's case, it is paid by the producer of the goods and service
HSN code	HSN (Harmonized System of Nomenclature) is an internationally accepted product coding system. In India, HSN coding is currently used under Excise, Customs, and state Value Added Tax (VAT) laws and is now also proposed to be used under Goods and Services Tax (GST) law, for classification of products/goods.
NBFC	Non-Banking Financial Company



2. General overview

This section provides an initial introduction into the local eInvoicing environment within India, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• GST Council – Goods and Services Tax Council • GSTN - Goods and Services Tax Network • CBEC – Central Board of Excise and Customs • NIC – National Informatics Centre of India, that is in charge of the development of the first IRP for the GSTN
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• The Goods and Service Tax Act, 2017 • Integrated Goods and Services Act, 2017 • Information Technology Act, 2000 • GST Council decisions • GSTN specifications • CGST (Central Goods and Services Tax) Rules • Notification N. 17/2022 – Central Tax



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	Allowed and mandated for a certain type of companies
Varying invoicing regimes¹	Different invoicing regimes apply to companies obliged to issue e-invoices and those not following the e-invoicing regulations
e-Invoicing model	- Starting from October 1, 2020, HARD-CLEARANCE, meaning that e-invoices must be cleared with the mandatory infrastructure prior to exchange between the trading partners. Hard-clearance applies only to certain type of invoices, and in other cases post-audit process applies - For non- post-audit country, the outlined further in this report may deviate significantly from Pagero's General E-invoice Processing Description which applies predominantly to the post-audit models
e-Invoice definition²	No explicit definition is provided, however, according to the GST Council the 37th meeting a valid tax invoice must include the QR code or hash. It is not required to be in JSON or any other electronic format
Scope of taxpayers the e-document mandate applies to	1 October 2020 – businesses > Rs. 500 Crore (ca EUR 56.000.000)³ 1 January 2021 – businesses > Rs. 100 Crore (ca EUR 11.200.000) 1 April 2021 – businesses > Rs. 50 Crore (ca EUR 5.600.000)

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

³ Aggregate turnover for e-invoicing includes the turnover of all GSTINs under a single PAN across India

	• 1 April 2022 – businesses > Rs. 20 Crore (ca EUR 2.300.000). • 1 October 2022 – businesses > Rs. 10 Crore (ca EUR 1.200.000) • 1 August 2023 - businesses > Rs. 5 Crore (ca EUR 560.000) • The following sectors are exempted: ◦ SEZ Units, Insurance, Banking [<i>incl. NBFCs</i>], Goods Transport Agency [<i>transporting goods by road in goods carriage</i>], Passenger Transport Services, Multiplex Cinema Admissions
Supplies in scope	• B2B Supplies incl. RSM (reverse charge mechanism) • Supplies to SEZs (with/without payment) • Exports (with/without payment) • Deemed Exports • Exempted: ◦ Zero-rated or Exempt supplies as here a bill of supply is issued and not a tax invoice ◦ B2C supplies⁴
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• Mandate implemented

⁴ Notification No. 14/2020-Central Tax dated 21st March, 2020 mandates entities with aggregate turnover > Rs. 500 crores in a FY to include QR code on their B2C invoices. This is, however, not related to the QR string/code generated as part of B2B e-invoicing process via IRP. B2C invoices are not to be validated with IRP.



4. Before switching to e-invoices

4.1. IT⁵ registration

Economic operators are obliged to register for GST within 30 days of becoming liable for registration. Such circumstances include i.e.:

- Entities with a taxable annual turnover exceeding INR 2.000.000 (ca. EUR 23.100),
- Entities registered under the pre-GST regulations, e.g., excise duty, VAT, Service Tax,
- When a registered entity has been transferred, the transferee shall register from the date of the transfer,
- Entities involved in the inter-state supply,
- Entities acting as an agent of a supplier,
- Entities paying tax under the reverse charge mechanism,
- Entities acting as aggregators or e-commerce operator.

Entities supplying via an e-commerce platform.

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

India IT number format: goods and Services Tax Identification Number (GSTIN) is a PAN (permanent account number) based number in which the first two digits denote the state code. PAN is a unique identification code issued under the Indian Income Tax legislation. For more information, please see the section below.

4.2. GSTIN Number

India did use the TIN (Taxpayer Identification Number). However, after the entry of the GST regime, TIN was replaced with GSTIN (Goods and Services Tax Identification Number).

GSTIN is a 15-digit unique code assigned to each taxpayer with the following structure:

22	AAAAA00000A	2	Z	5
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⁵ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Services Tax (GST), Sales tax, etc.

State Code	PAN Card Number	# of registrations in the same state	Default digit	Check code
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- **First two digits:** The state code as per Indian Census 2011: 01-Jammu and Kashmir, 02-Himachal Pradesh, 03-Punjab, 04-Chandigarh, 05-Uttarakhand, 06-Haryana, 07-Delhi, 08-Rajasthan, 09-UP, 10-Bihar, 11-Sikkim, 12-Arunachal Pradesh, 13-Nagaland, 14-Manipur, 15-Mizoram, 16-Tripura, 17-Meghalaya, 18-Assam, 19-West Bengal, 20-Jharkhand, 21-Orrissa, 22-Chattisgarh, 23-MP, 24-Gujarat, 25-Daman and Diu, 26-Dadar and Nagar Haveli, 27-Maharashtra, 29-Karnataka, 30-Goa, 31-Lakshadweep, 32-Kerala, 33-Tamil Nadu, 34-Puducherry, 35-Anadaman and Nicobar Islands, 36-Telangana and 37-Andhra Pradesh.
- **Next 10 digits:** It is the PAN number of a business entity like manufacturer, trader, exporter, dealer
- **13th digit:** Indicates the number of registrations a business entity has within a state for the same PAN. It is an alpha-numeric number (first 1-9 and then A-Z) and will be assigned on the basis of the number of registrations a legal entity (having the same PAN) has within one state. For instance, a company ABC registered in the same state for 5 times for different businesses. In such a case, this digit will be printed as 5. Let us assume, the same company registered for around 15 times, then it should be represented as F (1-9 numeric and later on 10th registration be named as A and 11th as B and so on up to Z). Hence, a business entity can register the GSTIN within a single state for a maximum of 35 times (1-9 and later on A-Z).
- **14th digit:** By default, is Z.
- **15th digit:** A check code that will be used for the detection of errors.

4.3. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• The taxpayer must obtain ClientId, ClientSecret, API • UserName and Password • The taxpayer can use the e-Invoice Enablement Form
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• The trading parties subject to the e-invoice mandate should agree on the method of e-invoice exchange • Where one trading party is not subject to the e-invoice mandate, it is as well recommended that the trading parties

	agree on the form and format of invoice exchanged
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	No explicit requirements

4.4. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	An explicit agreement envisaged
Whether statement of outsourced issuance is required on the invoice	Allowed, not required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Agreement between taxpayer and outsourcer is needed only if a digital signature is applied
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	No explicit content
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	- Connection to the IRP must be done from an Indian IP address - An agreement must be signed between the service provider and the GSTN. The draft agreement can be seen here

4.5. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

India has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• JSON – for communication with the IRP • Format for processing and exchange between trading parties not regulated
Other document format(s) commonly used for exchange between trading parties	• JSON, XML, PDF, paper – for the exchange between the trading parties
Mandated platform(s) required to have connection with for e-document processing	• IRP of the GSTN
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• www.gstn.org/e-invoice
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• E-mail of the taxpayer (buyer) provided on the e-invoice
Other technical aspects	• N.a.

5.2. Communication with the IRP

Invoice Registration Portal (IRP) is the website for uploading/reporting of invoices.

The first Invoice Registration Portal (IRP) is already active and can be accessed at: <https://einvoice1.gst.gov.in/>. Multiple Invoice Registration Portals (IRP) will be established to ensure uninterrupted availability.

IRP will only be a pass-through portal. It will not store or archive e-invoice data.

Regulations in India foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	- The taxpayers either directly or via intermediaries are allowed to connect to one or several IRP's in order to issue e-invoices in an automated manner. - The API is used for registering the invoice and getting the Invoice Registration Number (IRN) or cancelling the invoice. - The authorisation token is valid for 360 minutes and must be renewed thereafter.
Manual	- There will not be provided any portal to manually key in e-invoices. However, in the GST portal, it will be possible to review the invoices manually - The GST system must, however, be used for the manual rectification of incorrect e-documents - The offline app will be provided on the IRP for anyone to download to authenticate the QR code of the invoice offline and its basic details⁶ - The facility to download entire invoice will be provided to tax officers, the way it is currently available under the E-way bill system
Other options	- Taxpayers who do not use any accounting software or IT tool to generate the invoice, are be provided Free Offline Excel Utility (Bulk Generation Tool, downloadable from IRP) - Taxpayers are allowed to use the different mechanism explained to issue invoices in parallel. Therefore, it is allowed to use a service provider for some invoices, and taxpayers could use the Bulk Generation Tool for others.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

The following issuance requirements apply for e-document issuance in India:

- 1) **The supplier** must generate an electronic file in JSON format containing the mandatory e-document content of the commercial transaction and submit the document for validation to the IRP:
 - a. The e-document can include e-signature, however, this is not required,
 - b. The taxpayer cannot generate the IRN, only IRP can generate it,
 - c. Each invoice must be submitted individually

⁶ The facility of QR code verification will be made available only through the GST System and not the IRP. This is because the IRP will not have the mandate to store invoices for more than 24 hours. In order to achieve speed and efficiency, the IRP will be a lean and focused portal for providing invoice registration and verification service, IRN and the QR codes. Hence, storing of the invoices will not be a feature of the IRP

- d. Timing of the issuance:
 - i. Where the supply involves movement of goods: On or before the removal of goods for supply to the buyer from the location of the supplier
 - ii. Where the supply does not involve the movement of goods: On or before the date of delivery of goods to the recipient
 - iii. Service (general): Within 30 days of the supply of the service
 - iv. Service (Banks and NBFCs): Within 45 days of supply of the service
- 2) **The IRP** will respond to the supplier with a positive or negative response
- a. If positive:
 - i. IRP will return JSON including
 - 1. E-signature with the certificate of the IRP,
 - 2. QR code string, and
 - 3. IRN
 - ii. IRP will make the document available to both parties in the GST portal
 - 1. The seller can view invoice liability in ANX 1
 - 2. Buyer can view the ITC related to this invoice in the ANX-2
 - iii. E-Way bill system will create Part-A of an e-way bill using this data to which only vehicle number will have to be attached in Part-B of the e-way bill. Part B can be generated at a later point in time.
 - b. If negative:
 - i. An error message will be returned detailing the rejection reason
 - c. There is no committed SLA response time from the IRP
 - d. The IRP will only process invoices one-by-one.
- 3) **The supplier** has then to distribute the e-document to the buyer
- a. The distribution between the trading parties is not regulated,
 - b. The e-document can include e-signature, however, this is not required,
 - c. E-signature is required when distributing the invoice in the PDF format
- 4) Taxpayers with AATO more or equal to INR 100 crores (ca. EUR 11 million) are able to report invoices⁷ issued no later than 7 days via IRP portals from [1 May 2023](#).⁸ Starting on [1 November 2023](#) taxpayers with AATO more or equal to INR 100 crores (ca. EUR 11 million) will have a 30-day time limit to report invoices on the IRP portal. The GSTN has established the necessary validations to prevent any invoice reported after the 30-day window from gaining validation and approval statuses.

⁷ This limitation applies to all document types (including credit/debit notes) for which IRN is to be generated.

⁸ To clarify, the report of invoices issued in seven days or more are not allowed on the reporting date for taxpayers.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Export invoices must as well be cleared with the IRP. The clearance process of such invoices is the same as for domestic transactions. No separate document type is required.

Once the IRP has validated the invoice data and returned fiscally valid JSON to the supplier, it can send the export invoice to the buyer in any agreed format, as it will be used by the buyer as a pro forma invoice.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

There is no explicit requirement for buyers to validate e-invoices with the supplier. The possibility does, however, exist:

- By manually uploading the signed JSON file or Signed QR Code into e-invoice system: [e - Invoice System \(gst.gov.in\)](https://gst.gov.in) → Search → [Verify Signed Invoice](#) alt.
- Manually with “Verify QR Code” mobile app which may be downloaded from [e - Invoice System \(gst.gov.in\)](https://gst.gov.in) → Help → Tools → [Verify QR Code App](#)

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

There are no explicit requirements to clear or validate the import e-invoice with the IRP.

5.5. AoR (response) process

In India, there is no pre-defined process for how the buyer should accept or reject e-invoices via the IRP. This must be done outside of this process.

5.6. IRP validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

The IRP will among others perform the following validations:

- That all mandatory fields contain information,
- The validity of GSTIN of the supplier,
- The validity of GSTIN of the buyer,
- Invoice number,
- Financial year, and
- Whether the invoice already exists in the GST system (This validation of existence in the GST system will be based on the GSTIN-InvoiceNumber-typeofdocument-FY combination, which also is used for the IRN generation),

Would the e-document not pass the validation, the IRP will return error messages indicating the reason for the rejection.

Would the e-document pass validation, the IRP will return e-document in JSON incl. AR code and e-signature (with a certificate belonging to the IRP), and the IRN.

QR code generated by the IRP will consist of the following elements:

- GSTIN of the supplier,
- GSTIN of the buyer,
- Invoice number as given by the supplier,
- Date of the generation of the invoice,
- Invoice value (taxable value and gross tax),
- Number of line items,
- HSN Code of the main item (the line item having the highest taxable value), and
- Unique Invoice Reference Number [IRN] (hash)
- Date of generation of IRN

QR Code validation:

By scanning the QR Code, the individual can generate the GST Invoice any number of times in PDF format. The QR Code should provide a link to a PDF copy of the invoice. The physical copy of the invoice and the PDF copy should be identical. Thus, the PDF copy should also contain the QR Code.

Under B2B invoices, QR codes are generated by the IRP (Invoice registration portal) and not the taxpayer. However B2C QR codes has to be self-generated by the taxpayer.

5.7. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

It is the responsibility of the supplier to distribute the e-document to the buyer. The distribution method can be agreed upon between the parties. However, as the companies not included in the e-invoicing mandate scope from 1 October 2020 are not obliged to accept and process JSON e-documents, the supplier is recommended to be able to either generate PDF invoice or print paper invoice for distribution to such businesses.

There are no regulated timeframes during which the distribution/delivery should have taken place.

Item	Commentary
Push communication	No explicit requirements
Pull communication	No explicit requirements
E-mail distribution	No explicit requirements
Webportal ⁹	No explicit requirements
Scanning inbound invoices	No explicit requirements
Scanning outbound invoicing	No explicit requirements

5.8. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

When goods supplied are returned or when there is a revision in the invoice value a Debit Note or Credit Note are to be issued.

Cases where Credit Note must be issued under GST	
1	The taxable value in the invoice exceeds the actual taxable value
2	The tax charged in the invoice exceeds actual tax to be paid
3	Recipient returns the goods to the supplier
4	Goods or services are found to be deficient

Cases where Debit Note must be issued under GST	
1	The taxable value in the invoice is less than the actual taxable value
2	The tax charged in the invoice is less than the actual tax to be paid

Additional requirements for the rectification process are:

- **Invoice cancellation:**
 - An e-invoice cannot be partially canceled, it must be canceled fully.
 - If done within 24 hours from validation by the IRP, an automated cancellation may be done with the IRP.
 - However, if the connected e-way bill is active or verified by officer during transit, cancellation of IRN will not be permitted.

⁹ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

- If 24 hours have passed, the cancellation can only be done manually on the GST portal before the returns are filed.
- In case of cancellation of IRN, GSTR-1 also will be updated with such “cancelled” status.
- **Invoice amendment:**
 - Amendments are not possible on IRP. All amendments may only be done on the GST portal manually (while filing GSTR-1).
 - Such amendments will be flagged to proper officer for information.

Content requirements for Debit and Credit notes are described further in section [6.9](#).

5.9. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• No explicit regulations
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Yes
Whether any conditions apply, and which, to the dematerialisation	• For a scanned invoice to be valid, it's I&A must be ensured with means of an eSignature. The paper invoice should nevertheless be archived to fulfil the CBEC requirements for reproduction of a reliable audit trail
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Yes
Whether any conditions apply, and which, to the materialisation	• The taxpayer can print paper invoices, as long as they include the QR code

5.10. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

Although a single IRP will be available at the beginning of the mandate, the ambition of the GSTC is that there will be several IRP's going forward in order to ensure business continuity, which will use the common set of API's.

There has been no published information relating to scenarios where the IPR is not accessible or temporarily down. Nor has there been published any contingency process

for the situation where the taxpayer is not able to issue e-invoices in due time due to technical difficulties.

5.11. Tax invoice and copy

According to CGST Rule 48(6) issuance of invoice duplicates/triplicates is no longer required for those taxpayers, who issue e-invoices via IRP clearance mechanism.

In order cases, strict duplicate/triplicate requirements apply.

For a supply of **goods**, the invoice shall be prepared in triplicate:

1. the original copy being marked as *"ORIGINAL FOR RECIPIENT"*,
2. the duplicate copy being marked as *"DUPLICATE FOR TRANSPORTER"*, and
3. the triplicate copy being marked as *"TRIPLICATE FOR SUPPLIER"*.

For supply of **services**, the invoice shall be prepared in duplicate:

1. the original copy being marked as *"ORIGINAL FOR RECIPIENT"*, and
2. the duplicate copy being marked as *"DUPLICATE FOR SUPPLIER"*

Any further copies of the original tax invoice, e.g. human-readable presentation of a structured tax invoice, should as well be clearly marked up as "copy".



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Invoice, incl. ISD invoice and export invoice, (both B2B and B2G) • Credit Note • Debit Note These document types must be issued in the following scenarios (types of transactions): • Business to Business (B2B) invoices • Business to Government (B2G) invoices • Business to Export invoices • Reverse Charges invoices (allowed only for B2B invoices or in case of purchase from the consumer) • Supplies through e-Commerce Operator Document types excluded from the mandate • Delivery challan • Bill of supply • Job works
Documents mandatory for issuance by buyer	• As per the above

Item	Commentary
Self-billing allowed	• Self-billing is not allowed in India
Simplified invoice allowed	• For insurance companies, banking or financial institutions, multiplexes and suppliers of passenger transport services, certain requirements for invoicing have been relaxed. The relaxation is mainly with respect to details of service recipient and serial number of documents • As well, Invoice-cum-bill of supply can be issued when both taxable and not-taxable/exempted goods/services or both are supplied to an unregistered person (B2C transactions)

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

In the framework of their business purposes (i.e. when there are several invoicing sites for one company, self-invoicing, or when there are several clients for which the invoicing rules are different), the taxable persons may use invoicing numbering with a distinct series of numbers as long as the following conditions are met:

- the numbering of the invoices must be consecutive and continuous at issuance;
- not exceeding sixteen characters
- the numbering can be on or more separate series
- containing alphabets or numerals or special characters hyphen or dash and slash symbolized as “-” and “/” respectively, and any combination thereof
- two invoices issued during the same calendar year may not contain the same number.

6.2.2. Additional document numbering

The Invoice Reference Number (IRN) is a unique number (also known as hash) generated by the Invoice Registration Portal (IRP) using a hash generation algorithm which contains:

1. Supplier [GSTIN](#),
2. The financial year in ‘YYYY-YY’ format. For example, 2019-20,
3. Document type, and
4. Supplier’s document number

It is not possible for the taxpayer to generate the IRN, only IRP can generate it.

IRN is a HASH generated using SHA256 hash of Gstin, DocDtls.No, DocDtls.Typ, financial year of DoctDtls.Dt. For example, HASH of “01AAAAB1234C1Z02019-20INVAB1234” is 35054cc24d97033afc24f49ec4444dbab81f542c555f9d30359dc75794e06bbe

6.3. Indirect tax (IT)¹⁰ rates

This section illustrates the applied IT¹¹ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates

¹⁰ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Services Tax (GST), Sales tax, etc.

¹¹ Local name GST (Goods and Services Tax)

28%+CESS	Examples for goods and services could include de-merits and luxury goods and items that fall under the sin category, such as aerated drinks, tobacco, luxury cars, pan masala, etc.
28%	Examples for goods and services could include sunscreen, pan masala, dishwasher, paint, cement, automobiles, hair clippers, motorcycles, movie tickets and betting on casinos and racing
18%	Most of the items are part of this tax bracket
12%	Examples for goods and services could include butter, cheese, sausage, medicine, umbrella, instant food mix, cell phones, sewing machine, man-made yarn, business class air tickets, etc.
5%	Examples of goods and services could include skimmed milk powder, fish fillet, frozen vegetables, coal, fertilizers, pizza bread, insulin, etc.
0%	Examples for goods and services could include milk, fruits, vegetables, bread, salt, flour, eggs, stamps, printed books, judicial papers, and newspapers, cereals, spices, coffee, tea, nuts, rice, pulses, and services provided by an intermediary to a supplier/recipient of goods where both the supplier and recipient are located outside India

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of India. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• English is typically the business language and should be the language invoice content is expressed in
Sequential numbering	• Yes, see section 6.2.1. above
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• Not explicitly regulated

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Not explicitly regulated
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Not explicitly regulated

IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	Not explicitly regulated
IT identification number of the supplier in the country of establishment	- Yes - This must be the GSTIN - In the case of B2G invoices, the buyer's GSTIN has to be of TDS Authority
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	Not explicitly regulated
Legal form of the supplier	Not explicitly regulated
Trade register number of the supplier	Not explicitly regulated
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	Not explicitly regulated
Place of legal seat of the supplier (Headquarters)	Not explicitly regulated
Other supplier data	Not explicitly regulated

Customer data	
Full legal name of the customer	Yes
Allowed to abbreviate or shorten the legal name of the customer	Not explicitly regulated
Address of the customer in country of establishment	Yes. It is suggested that the state code also be mentioned
Bill-to address when it is different from the registered address of the customer	No information is currently available
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	Required if the recipient is GST registered - To be labelled as "GSTIN", unless the customer requires the supplier to state their "ISD¹² GSTIN" - To be labelled as "Unique Identity Number / UIN¹³" if the recipient has a Unique identity number - In the case of B2G invoices, the buyer's GSTIN has to be of TDS Authority

¹² ISD or Input service distributor is a business which receives invoices for services used by its branches. It distributes the tax paid, to such branches on a proportional basis by issuing an ISD invoice.

¹³ UIN or Unique Identification Number is a special class of GST registration for foreign diplomatic missions and embassies which are not liable to taxes in the Indian territory.

	In case of transaction of direct export, or if supplies are made to unregistered persons, recipient GSTIN has to be IRP
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	Not explicitly regulated
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	No
Other customer data	Not explicitly regulated

Transaction data	
Date of issue	Yes
Date of supply (chargeable event)	Not required
Date of prepayment	Not required
Description of the goods/services	Yes. For each line of goods and services¹⁴
Quantity of the goods supplied or the extent of the services supplied	- Yes - For each line of goods and services
Purchase order number	Not explicitly regulated
Shipped from location (for the supply of goods)	- Yes. Company name, GSTIN, address, state, postcode - The state code of Place of supply (POS) is mandatory. If POS lies outside the country, the code shall be 96
Shipped to location (for the supply of goods)	Yes. Company name, GSTIN, address, state, postcode, supply type (supply, export, job work) and transaction mode (regular, till to, ship to)
Status of the goods (e.g. in bond, in free circulation)	Not explicitly regulated
Incoterms	Not explicitly regulated
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	Not required

Financial data

¹⁴ The maximum number of line items allowed per e-invoice is 1000

Taxable base per item (unit price excl. IT)	• Not explicitly required, but advised to be mentioned • Noted as Assessable Value
Total taxable base per IT rate or exemption	• Yes • The total amount of the Invoice with GST. Must be rounded to maximum 2 decimals • The following summation must be done on Invoice total: ○ Total Taxable Value = Taxable Value of all Items ○ Total SGST Value = SGST Value of all Items ○ Total CGST Value = CGST Value of all Items ○ Total IGST Value = IGST Value of all Items ○ Total Cess Value = Cess Value of all Items ○ Total State Cess Value = State Cess Value of all Items ○ Total Non-Advol Cess Value = Non-Advol Cess Value of all Items • Total Invoice Value = Total Taxable Value + Total SGST Value + Total CGST Value + Total IGST Value + Total Cess Value + Total State Cess Value + Total Non-Advol Cess Value - Discount Amount + Other Charges
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes. All must be provided on the line-item level. Up to 10,000 rows are allowed • Each item needs to valid HSN code with at least 4 digits. That is, items of goods type should be 4 or 6 or 8 digits and items of service type should be 4 or 5 or 6 digits. HSN Code should be valid as per the GST master • Each item should have a valid Unit Quantity Code (UQC) as per the master codes
Total IT amount payable	• Yes. When tax currency code is provided, two instances of the tax total must be present, but only one with tax subtotal.
Discounts/rebates if not included in the unit price	• Yes. The total discount subtracted from the Item gross price to calculate the Item net price.
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• No explicit requirements but advised mentioning INR for domestic supplies. INR will, however, be the default currency in the JSON schema.

Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• Not explicitly regulated
Exchange rate (if the invoice is not issued in the local currency)	• Generally, invoices are issued in the local currency, Indian rupee (INR). However, for exports, the invoices may be issued in foreign currency. In such cases, GST rules provide for adopting a rate of exchange for determining taxable value. • For goods, the rate of exchange will be the rate notified by Central Board of Indirect Taxes and Customs under the Customs Act. For services, the rate of exchange will be the rate determined as per generally accepted accounting principles on the day on which the services are supplied.
Which exchange rate must be applied in order of priority	• Not explicitly regulated
Terms of payment	• Not explicitly regulated
IBAN and BIC number of supplier	• Not explicitly regulated

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• GST exemption/benefit from profit margin - It is advised that a reference of the relevant provision is given • All tax invoices to contain a declaration stating whether or not tax is payable under the reverse charge mechanism. The option to pick 'Yes' or 'No' in this regard is to be made available in the system. Further, in the event that tax is payable under the reverse charge mechanism, a reference to the relevant provision may be given
List the required references in case of exemption or reverse charge	• GST exemption/benefit from profit margin - It is advised that a reference of the relevant provision is given • All tax invoices to contain a declaration stating whether or not tax is payable under the reverse charge mechanism. The option to pick 'Yes' or 'No' in this regard is to be made available in the system. Further, in the event that tax is payable under the reverse charge mechanism, a reference to the relevant provision may be given
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is	• Not applicable

taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Not applicable
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• Not applicable
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No explicit regulations
Specific references required in case invoicing is outsourced	• No explicit regulations
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No explicit regulations
Other specific requirements/references to be mentioned on an invoice	• Additional requirements for export invoices/invoices issued against supplies to SEZ unit or SEZ Developer for authorised operations: ◦ Endorsment stating: "SUPPLY MEANT FOR EXPORT ON PAYMENT OF INTEGRATED TAX" or "SUPPLY MEANT FOR EXPORT UNDER BOND OR LETTER OF UNDERTAKING WITHOUT PAYMENT OF INTEGRATED TAX" ◦ Name of the country of destination • QR code / string

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice (**Invoice-cum-bill of supply**).

Content requirements
Name, address and GSTIN of the supplier;
A consecutive serial number, in one or multiple series, containing alphabets or numerals or special characters, hyphen or dash and slash symbolised as "-" and "/" respectively, and any combination thereof, unique for a financial year

Date of its issue
Name, address and GSTIN or UIN, if registered, of the recipient
HSN Code of goods or Accounting Code for services
Description of goods or services or both
Value of supply of goods or services or both taking into account discount or abatement, if any
Signature or digital signature of the supplier or his authorized representative

Pagero Online does not support the creation of simplified invoices (Invoice-cum-bill of supply) as they typically do not correspond to the business requirements of Buyers.

6.6. E-Waybill Additional Requirements

Item	Commentary
Transport ID	Registration / Enrolment details of the transporter to be provided
Trans mode	1/2/3/4 (Option based on the mode of transport available on E Waybill System/portal)
Trans Distance	Distance of transportation
Total Details	Total items of the document including tax
Tax Scheme	Only for GST supplies
Shipping to legal name	The legal name of the entity to whom the supplies are shipped to
Shipping to address	Address1 of the entity to whom the supplies are shipped to (Building/Flat no., Road/Street etc.)
Shipping to place:	Place of entity to whom the supplies are shipped to (City/Town/Village etc.)
Shipping to pin code	PIN code of the location to which the supplies are shipped to
Shipping to state code	State code to which the supplies are shipped to
Name of entity	Name of the company from which goods are dispatched
Address	1 of the entity from which goods are dispatched (Building/Flat no., Road/Street, etc.)
Place of the entity	Place of the entity from which goods are dispatched (City/Town/Village etc.)
State code of the entity	State code of the entity from which goods are dispatched
PIN code of the place of entity	PIN code of the place of the entity from where goods are dispatched

6.7. ISD invoice

An ISD invoice or an ISD credit note issued by an Input Service Distributor shall contain the following details:

Content requirements
Name, address, and GSTIN of the Input Service Distributor
A consecutive serial number
Date of its issue
Name, address, and GSTIN of the recipient to whom the credit is distributed
Amount of the credit distributed
The signature or digital signature of the Input Service Distributor or his authorized representative

Pagero Online issues ISD invoice as per JSON schema.

6.8. Export invoice

When issuing an invoice for an export transaction, the following data must be included in the document:

- Subtype of export
- Payment type
- Postcode
- Country code
- Currency and value

Otherwise, the content requirements are exactly the same as for the invoice.

6.9. Rectification document

In India, Credit and Debit notes must be issued as rectification documents.

In case of Debit/Credit Note of the transaction, the taxpayer has to pass the Original Invoice Number in Debit/Credit Note details. Otherwise, the content requirements are exactly the same as for the invoice.

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No information is currently available
Reference to original invoice required on a credit note	• No information is currently available
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No information is currently available
Reason for credit required	• No information is currently available

Sequential numbering	
Separate sequential credit note numbering required	• No information is currently available
Allowed to issue one credit note to correct different invoices	• No information is currently available

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.10. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

It is possible to provide additional content, including comments, as long as such fields are provisioned for in the JSON schema. Further, as there is no requirement to exchange the JSON e-invoice between the taxpayers, as long as the QR code/string is exchanged, any additional content can be provided in any other format chosen by the trading parties.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Required	• Required
Which methods for ensuing I&A are provisioned for	• E-signature of the IRP is mandatory • E-signature of the Supplier or his authorized representative is optional¹⁵	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Written agreement required with the third party, however, no explicit content requirements	• Written agreement required with the third party, however, no explicit content requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

¹⁵ The provisions of Rule 46 of the CGST Rules, 2017 apply here. According to Rule 46, the e-signature of the supplier or his authorised representative is required while issuing invoices. However, a proviso to Rule 46 states that the e-signature shall not be required in the case of issuance of an e-invoice that is in accordance with the provisions of the InformationTechnology Act, 2000. Hence, it can be interpreted that in the case of e-invoices, a supplier is not required to e-sign the document. At the same time, it seems to be a common practice in India to still apply e-signatures.

Item	Commentary
e-Signature technical requirements	• Mandatory, IRP will sign e-invoices digitally with their own certificate • For exchange between the trading parties, the certificate must be issued by e-Mudhra
Automated e-signing	• Allowed
Time-stamping of e-signature	• N.a.

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the e-Invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g., tax invoice, source documents, audit trail, I&A proof)	• For the taxpayer mandated to issue e-invoice, the e-document in JSON format with IRP e-signature, IRN, and QR codes and the same in a distributed format. • For the taxpayer not mandated to issue e-invoice, the invoice in the original form or format including digital certificate or other I&A evidence as appropriate.
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format.
Legibility, i.e., the ability to read stored e-documents by an untrained eye	• No explicit requirements.
Legibility requirements	• For non-IRP-based issuance, PDF invoice is envisaged
Retention period for invoices not related to immovable property¹⁶	• 72 months (6 years)
Start point of retention period calculation for invoices not related to immovable property	• From the due date of furnishing of annual return for the year pertaining to such records
Retention period for e- invoices related to immovable property	• No information is currently available
Start point of retention period calculation for invoices related to immovable property	• No information is currently available
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• No information is currently available

¹⁶ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	No information is currently available
Outsourced archiving	Allowed
Archiving abroad¹⁷ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	- Permitted in the EU - No explicit regulations, online access required
Other requirements in relation to electronic document retention	- Archived e-Invoices must be authenticated by e-signature. - There must be a back-up e-archive in addition to the primary. - A log of edition and deletion shall be maintained. - The taxpayer must be able to produce (on demand) an account of the audit trail and inter-linkages, incl. the source document (paper or electronic), financial accounts, record layout, data dictionary, an explanation for codes used, and the total number of records in each field along with sample copies of documents. - According to Clause 39.23(viii) of the Unified License Agreement (ULA), issued by the Department of Telecommunications ("DoT"), Telecom Service Providers ("TSPs") cannot transfer to any person or place outside India: - Any accounting information relating to a subscriber (except for international roaming/billing) (this does not restrict a statutorily required disclosure of a financial nature) and, - User information (except information pertaining to foreign subscribers using an Indian Operator's network while roaming). - Internet Service Providers ("ISPs") are subject to the same data localization as TSPs under the ULA.

¹⁷ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	No explicit requirements
Rectification document	Yes, see section 5.9 and 6.9 above
Payment instruction	No explicit requirements
SAF-T (or alike) reporting	No explicit requirements
Transportation documents	E-way bill is regulated, see section 10.2 below
Other	N.a.



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

An e-invoice is a valid document for the supplier as well as the buyer. Failure to issue an e-invoice is considered as a failure to issue an invoice. Penalty for non-compliance with e-invoicing requirement is: 1. Penalty for non-issuance of e-invoice: Higher of the following (i) 100% of the tax amount or (ii) INR 10,000 2. Penalty for incorrect or erroneous e-invoice: INR 25,000 3. Penalty for non-compliance with the requirement of dynamic QR Code for B2C transactions: INR 25,000

10.2. E-reporting

In India, there are fairly detailed requirements for electronic submission of transaction-level details as a part of periodic returns submission. As per the Indian GST law, there are various thresholds for obtaining GST registration, the most common being INR 1 million (smaller Indian States), INR 2 million and INR 4 million. Once registered, the taxpayers are required to submit periodical returns electronically on the Government's returns platform.

Location of taxpayers in scope

Established, non-established and suppliers of Electronically Supplied Services (ESS), more commonly known as Online Information and Database Access and Retrieval (OIDAR) service providers.

Registration threshold

As per the Indian GST law, there are various thresholds for obtaining GST registration and reporting requirements, the most common being INR 1 million (smaller Indian States), INR 2 million and INR 4 million.

Summary of the types of data to be reported

- GSTR-1 is a monthly or quarterly e-filing return to report details of outward supplies. GSTR-1 covers transaction-level reporting of B2B, exports and large B2C transactions, and summary level reporting of small B2C transactions. In addition, GSTR-1 requires reporting of advances, HSN codes and document series. For an e-invoicing enabled taxpayer, the B2B and exports transactions in their GSTR-1 are auto-populated by the Government using the transactions furnished for e-invoicing.
- GSTR-2A and GSTR-2B are made available to the purchasers on the Government returns platform monthly, covering details of transactions reported by their suppliers in their GSTR-1. Taxpayers are expected to reconcile GSTR-2B with their purchase register and claim deduction of input tax credit based on the transactions appearing in GSTR-2B.
- GSTR-3B is a monthly summary return containing a summary of outward supply (as per GSTR-1), inward supply (as per GSTR-2B) and adjustments to inward & outward supply as well as input tax credit. The monthly tax liability is determined based on GSTR-3B. GSTR-5 is required to be furnished by ESS / OIDAR suppliers on a monthly basis to determine and pay their tax liability.
- There are various other returns and statements required to be furnished including by specific taxpayers (such as electronic commerce companies, governments etc.) on a periodic basis. In addition, eligible taxpayers are required to furnish an annual return in GSTR-9.

Submission process

The returns are required to be submitted to the Government compliance portal. Similarly, the details of inward supply transactions are made available on the same compliance platform. The compliances can be undertaken in the following ways:

- By logging on to the Government portal and using UI-based filing
- By using offline utilities released by the Government
- By using an external compliance solution (which would use APIs published by the Government)

E-Reporting file format

Type JSON

Submission frequency

Monthly or quarterly depending on the type of registered person
Additional information
Not applicable.

Implementation date

1 July 2017

10.3. HSN Code

Many small businesses might find it cumbersome to find and update HSN code for the goods supplied. Hence, to reduce the compliance burden of small businesses, the GST Council has relaxed the requirement for displaying HSN code on invoices based on the sales turnover.

As per [Notification No.78/2020](#) – Central Tax dated 15th October 2020, HSN code on the invoice can be displayed as follows:

- Taxpayers whose turnover¹⁸ is more than 50,000,000 INR shall use 6-digit HSN code for all invoices.
- Taxpayers whose turnover is up to 50,000,000 INR shall use 4-digit HSN code for B2B invoices (optional for B2C invoices)
- These HSN codes must be declared in every tax invoice issued by the taxpayer under GST

Under the GST laws, services will be classified as per the Services Accounting Code(s) (SAC)

10.4. eWay Bill (EWB)

EWB is an electronic waybill for the movement of goods that can be generated on the eWay Bill Portal. When an EWB is generated a unique eWay Bill Number (EBN) is allocated and is available to the supplier, recipient, and the transporter.

EWB entered into force on 1 June 2018.

EWB must be generated if:

- The value of the transported goods exceeds INR 50,000, or
- For certain types of goods even if the value does not exceed INR 50,000
- For an inter-state movement of goods, in case of job work, irrespective of the consignment value or value declared in an invoice or such other document

In order to create EWB, one needs the following information:

- Invoice or Bill of Supply or Delivery Challan or Bill of Entry date related to the consignment of goods, and
 1. For transportation by road – Transporter ID or Vehicle number, or
 2. For transport by rail, air, or ship – Transporter ID, Transport document number, and date on the document

EWB's validity is limited according to the following:

¹⁸ Aggregate Turnover in the preceding Financial Year

- Up to 100km - One day in cases other than Over Dimensional Cargo¹⁹ and an additional day for each additional 100 Kms
- Up to 20km One day in case of Over Dimensional Cargo and an additional day for each additional 20 Kms

Pagero Online does not support the creation of eWay Bill.

10.5. QR Code for B2C Invoices

For taxpayers having aggregate turnover above INR 500 crores (approx. 58 million EUR) are required to have printed dynamic QR code on their B2C invoices²⁰ (except for [certain suppliers](#) and export invoices), with effect from 1 July 2022. The Dynamic QR Code should be such that it can be scanned to make a digital payment.

The Dynamic QR code must contain the following details :

- Supplier GSTIN number (As the recipient is an unregistered person, instead of mentioning his/her GSTIN, a taxpayer can mention his/her name.)
- Supplier UPI ID
- Payee's Bank A/C number and IFSC
- Invoice number & invoice date,
- Total Invoice Value and
- GST amount along with breakup i.e. CGST, SGST, IGST, CESS, etc.

A taxpayer must include a payment reference link so that the recipient is redirected to the payment reference link.

10.6. GSTR-1

This section has been included to this report for information only.

For all the taxpayers, who are generating e-invoice, their GSTR-1 (Sections B2B, CDN, EXP, Table12) will be auto-populated with e-invoice data.

GSTR-1 Table no.	GSTR-1 Table description
4A,4B,4C,6B,6C	B2B Invoices
6A	Export Invoices
9B	Credit/Debit Notes
12	HSN-wise summary of outward supplies

GST system will do mapping of E-invoice fields with GSTR1 fields, aggregate items on rate and populate GSTR-1. In case the e-invoice is cancelled, the auto-populated details will be removed from GSTR-1, automatically. The status also will be updated accordingly. Taxpayer will be able to edit auto-populated e-invoice data in GSTR-1.

¹⁹ Over dimensional cargo is a cargo that protrudes outside the loading deck of the vehicle transporting the cargo

²⁰ Pagero does not support B2C transactions

Invoice uploaded by Taxpayer will take precedence i.e. if a taxpayer has reported invoices first in e-invoice system and uploaded the same again in GSTR-1, then invoice uploaded by Taxpayer will prevail;

GST system will provide G2B API to get complete e-invoice data. GST System will enhance GSTR1, GSTR2A, GSTR2B, GSTR6A APIs and offline tool to include IRN and IRN date. (In second phase)

To start with, data from e-invoice will be pulled once every night, so data uploaded in e-invoice system on 'T' will be available on 'T+1' basis, in GSTR-1 and GSTR-2A/GSTR-6A. After stabilization, this will be made available in near real-time basis.

S No	E-invoice Field name	GSTR1 field name
1	Supply_Type_Code	Invoice type (This Field will be used for mapping invoice to different sections of GSTR1 like B2B/SEZWOP/SEZWP/DEXP invoices will be mapped to B2B section of GSTR1)
2	Document_type_code	It will be used to decide CDN or other sections.
3	Document_Num	Supplier Invoice number
4	Document_Date	Supplier Invoice Date
5	Reverse_charge	Reverse Charge
6	Supplier_Legal_Name	Supplier_Legal_Name
7	Supplier_trading_name	Trade Name of Supplier
8	Supplier_GSTIN	Supplier GSTIN
9	Recipient_Trade_Name	Buyer Trade name
10	Recipient_GSTIN	Receiver GSTIN
11	Place_Of_Supply_State_Code	Place of Supply (POS)
12	Total_Invoice_Value_INR	Supplier Invoice Value
13	HSN code	HSN code (Table-12)

S No	E-invoice Field name	GSTR1 field name
14	Quantity	Quantity (Table 12)
15	UQC (UOM)	UQC (Unit of Measure) of goods sold (Table 12)
16	GST Rate	Rate
17	Taxable Value	Taxable value of Goods or Service as per invoice
18	IGST_amt	IGST Amount as per item
19	CGST_amt	CGST Amount as per item
20	SGST_UTGST Amt	SGST Amount as per item
21	Comp_Cess_Amt_Ad_Valorem	CESS Amount as per item
22	Shipping_Bill_Number	Shipping Bill Number
23	Shipping_Bill_Date	Shipping Bill Date
24	Port_Code	Port Code

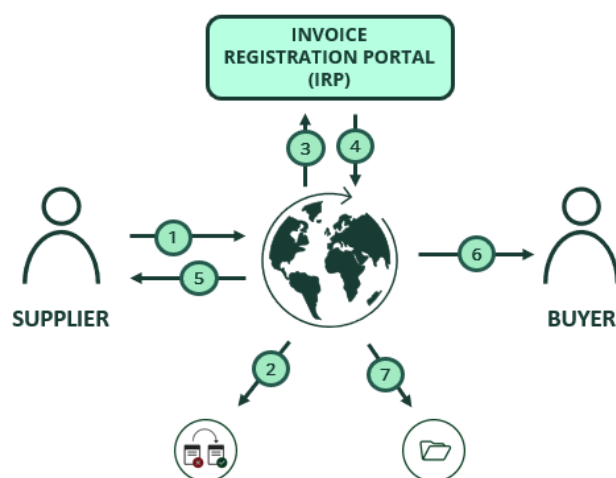


11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

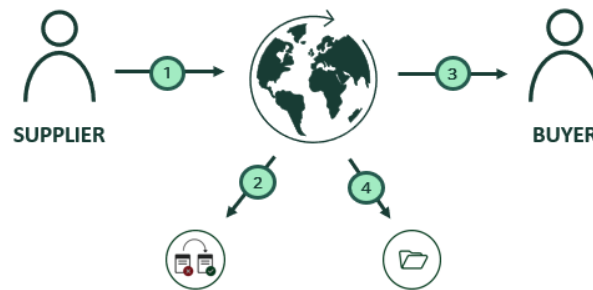
Pagero uses services of a local suvidha provider MastersIndia to be connected with IRP.

11.1. Document issuance (AR) with Pagero



- (1) File generation in the supplier format
- (2) Content validation and enrichment, file conversion to the mandatory JSON format
- (3) File submission to the IRP for clearance
- (4) Receipt of the e-document with IRN, QR code and IRP e-signature
- (5) Transmission of the e-document with IRN, QR code and e-signature to the supplier in the supplier format
- (6) Distribution of the e-document in JSON to the buyer and, optionally, PDF presentation or other agreed format, alt. printing
- (7) Archiving of all relevant documents

11.2. Document reception (AP) with Pagero



- (1) Receipt of the e-document in JSON and, if applicable, other agreed format
- (2) Conversion of the received e-document into the buyer format, content validation and enrichment, and, if agreed, application of the buyer-specific business rules for approval and rejection of the e-documents
- (3) Transmission of the e-document both in the mandatory and the buyer formats
- (4) Archiving of all relevant documents



12. Pagero recommended content

Value name	M/O	Description	Comments
Pagero recommended content India (IRP validation)			
Invoice level			
Invoice number	mandatory	invoice number	currency of invoice is always INR, but possible to provide additional currency if the total invoice value should be presented in a different currency. B2B: Business to Business SEZWOP: SEZ with payment SEZWOP: SEZ without payment EXPWOP: Export with Payment EXPWOP: Export without payment DEXP: Direct Export Possible values are Y (yes) or N (no)
Invoice date	mandatory	invoice date, indicated by the supplier	
Additional currency code	conditional	If invoice amount should be presented in a currency not INR	
Type of Supply	mandatory	Type of Supply can be B2B, SEZWOP, SEZWOP, EXPWOP, DEXP	
Notification of reverse charge mechanism	mandatory	Whether the tax liability is payable under reverse charge	Invoice (INV01), Credit note (INV02) and Debit note (INV07) is supported
Document Type	mandatory	type that indicates if an invoice, debit note or credit note	
Seller/Supplier information			
Trading Name	mandatory	Trading name of the supplier company	
Legal name	optional	Legal name of the supplier company	
Address information	mandatory		
Address 1	mandatory	Street, building number	
Address 2	optional	Name of building, floor number	
Location	mandatory	Location	
PIN	mandatory	Postal Index Number	
State name	mandatory	Name of the state	
Country	optional	country	
Countrycode	optional	countrycode	
GSTIN number	mandatory	Company GSTIN number	
Contact tel	optional	contact phone number	
Contact email	optional	contact email address	
Buyer information			
Trading Name	mandatory	Trading name of the buyer company	
Legal name	optional	Legal name of the buyer company	
Address information	mandatory		

Address 1	mandatory	Street, building number	
Address 2	optional	Name of building, floor number	
Location	mandatory	Location	
PIN	optional	Postal Index Number	
State name	optional	Name of the state	
Country	optional	country	
Countrycode	conditional	countrycode	Mandatory if export invoice
GSTIN number	mandatory	Company GSTIN number	
Place of Supply (State code)	mandatory	State code value between 1-37 and 97 (Other territory) 98 (Other country)	If buyer is outside India, "URP" should be set. If buyer is outside India, "98" should be set.
Contact tel	optional	contact phone number	
Contact email	mandatory	contact email address	Email will be used for distribution to the recipient and is therefore mandatory.
Dispatch party information (from the goods are dispatched)			
Name	optional	legal/registered name of the supplier company	
Address information	mandatory		
Address 1	mandatory	Street, building number	
Address 2	optional	Name of building, floor number	
Location	mandatory	district	
PIN	mandatory	Postal Index Number	
State code	mandatory	State code value between 1-37 and 97 (Other territory) 98 (Other country)	
Country	optional	country	If buyer is outside India, "98" should be set.
Countrycode	optional	countrycode	
Ship to party information (To which the goods are shipped)			
Trading Name	optional	Trading name of the ship to company	
Legal name	optional	Legal name of the ship to company	
Address information	mandatory		
Address 1	mandatory	Street, building number	
Address 2	optional	Name of building, floor number	
Location	mandatory	Location	
PIN	mandatory	Postal Index Number	
State code	mandatory	State code value between 1-37 and 97 (Other territory) 98 (Other country)	
Country	optional	country	If buyer is outside India, "98" should be set.
Countrycode	mandatory	countrycode	
GSTIN number	mandatory	Company GSTIN number	If buyer is outside India, "URP" should be set.

Invoice totals

Total taxable amount		Summary of all taxable amounts on line
Rounding amount	mandatory	Rounding amount
Total invoice amount	optional	Total amount of invoice
Total invoice amount in additional currency	mandatory	Total amount of invoice in additional currency

This value should be populated if an additional currency have been specified.

Specification for each GST/CES\$ rate

Net amount	optional	Taxable base amount of rate
Tax rate	conditional	Tax rate
Tax amount	conditional	Tax amount
Tax type	conditional	Type of Tax

If applicable
If applicable
Type of GST can be CGST, SGST, IGST, CESS, CESS Non-adval and state CESS. If a tax amount exist its tax type must be provided.

Payment Information

Account details	optional	Account number
Branch code (IFSC)	optional	Branch code (IFSC)
Payment mode	optional	Payment mode can be Cash, Credit och Direct transfer
Payment terms	optional	Terms of the payment
Credit days	optional	Days withing payment is due
Paid amount	optional	Amount already paid in advance
Amount to be paid	optional	Amount (outstanding) required to be paid

Export information

Shipping bill number	optional	Shipping bill number
Shipping bill date	optional	Shipping bill date
Port code	optional	Dispatch port

Line item level

Article description	optional	Article description
Serial number	mandatory	Serial number of article
Service Y/N	mandatory	Specify whether the supply is service or not. Specify Y for Service
Order line reference	optional	Reference of the purchase order line
Batch number	conditional	Batch number
Batch expiry date	optional	Expiry date of the batch
HSN Code	mandatory	Harmonized System of Nomenclature code
Unit of measurement	optional	Unit (UOM)
Quantity	mandatory	Quantity invoiced
Unit price	mandatory	Article unit price
Gross amount	mandatory	Gross amount (unit price x quantity)
Country of origin	optional	Specify the items country of origin
Discount amount	optional	The amount for the discount
Charge amount	optional	The amount for the charge
Taxable amount	mandatory	Taxable amount (which taxes are calculated on)
Total amount for line	mandatory	Total amount incl. Tax

mandatory if Batch expiry date exist

The code must be between 4 and 8 characters

GST/CES\$ specification

Tax rate	mandatory	Tax rate	IGST rate is mandatory
Tax value	optional	Tax amount	
Tax type	mandatory	Type of Tax	Type of tax can be CGST, SGST, IGST, CESS, CESS Non-adval and state CESS

Additional content

Document level

Refund claim	optional	Option for supplier for refund	In case of supplies made to SEZ unit/developer with payment of tax or supplies made as deemed export, supplier can exercise the option of claiming refund or not.
Reference of original invoice	conditional	Invoice document reference (for credit notes and debit notes)	mandatory if credit (INV02) or debit note (INV07)
Date of preceding invoice	conditional	Date of preceding invoice	mandatory if credit (INV02) or debit note (INV07)
Invoice remarks	optional	Free text information for invoice	Note that max length is 100 characters
Invoice period start date	optional	Invoice period start date	
Invoice period end date	optional	Invoice period end date	
References			
Contract document reference id	optional	Identifier of the referenced contract document	
Invoice reference number	optional	Invoice reference number	
Tender reference	optional	Tender reference	
Purchase order number	optional	Purchase order number	
Purchase order date	optional	Purchase order date	
Project reference number	optional	Project reference number	



13. Closing statements

13.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

13.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
24 June 2020	Document created
15 December 2020	Information regarding data localisation requirement for Telecom Service Providers added
10 March 2021	Mandatory scope for e-invoices updated
28 July 2021	QR code validation/reading
1 November 2021	Added section 10.3
19 December 2021	Updated scope of taxpayers and supplies by adding exemptions Added e-Invoice Enablement Form Moved IRN number from section 4 to section 6 Added additional information about IRP, section 5.2 Added options to validate QR code/string, section 5.4.1 Added additional clarifications on invoice cancellation, section 5.8 Clarified duplicate/triplicate handling, section 5.11 Clarified status of self-billing and simplified invoice, section 6.1 Updated mandatory content, section 6.4 Provided mandatory simplified invoice content, section 6.5 Additional clarifications on e-signature, section 7.1 Added information on GSTR-1, section 10.4 Stated name of Pagero partner in India, section 11
03 March 2022	Added new timelines for e-invoicing section 3 Added option to use several invoicing methods at the same time section 5.2
04 August 2022	Added new timelines for e-invoicing (annual turnover > 10 Cr.)
13 March 2023	Updated section 10.1
18 April 2023	Added "Reporting invoices via IRP Portal" to section 5.3.1 Added new abbreviation
22 May 2023	Updated section 3. E-Invoice Status (Added the new threshold Rs. 5 Crore (Ca EUR 560.000))
11 August 2023	Section 10.1: Penalties Section 10.2: E-reporting
30 August 2023	Section 8: Document Retention
13 September 2023	Section 5.3.1: time limit reporting